# CAPDESK PITCH DECK 2020

Capdesk

christian@capdesk.com

# The Mission

The infrastructure for private equity

# The Problem

Companies are staying private, this creates new challenges.

### Equity Administration

Administering equity costs thousands of pounds every year and can result in million-pound mistakes or fines.

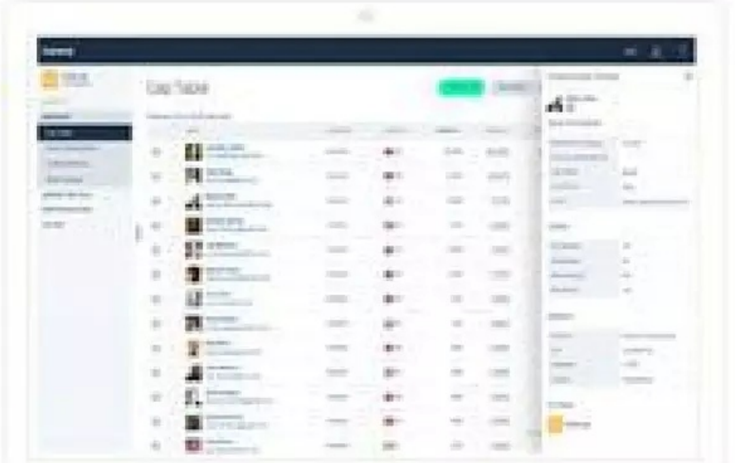
### Illiquidity

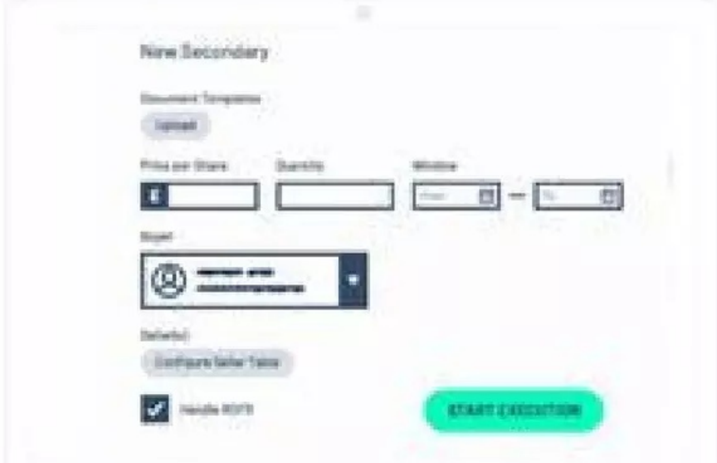
Employees and shareholders are locked to unlisted shares without liquidity.

# The Solution

**An equity management platform.**

Enabling companies to organise and trade shares.






## Equity Management

We help companies manage and report employee share schemes and shareholding.

## Automated Transactions

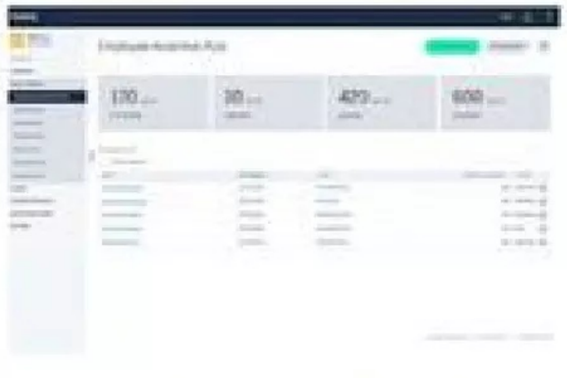
We facilitate end-to-end equity transactions.

# Product



## Cap Table

Shareholder Register
Convertibles
Warrants
Options
Growth shares
Issue, Transfer, Cancel, Convert, and more.



## Employee Share Plans

EMI & CSOP Support
Option Pools
Option Plans
Option Grants
Valuations
Auto-vesting
Share-based Payment Report (IFRS2)



## Exports

Vesting Report
Option Plans
Round Modelling
Register of Members
Cap Table
Transactions
Forms



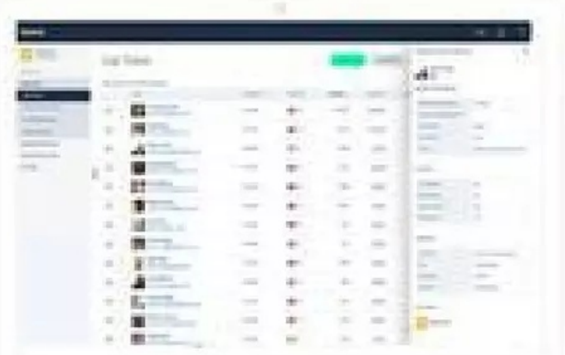

## Transactions

Secondary transactions
(see appendix)

Exercising of grants
AML / KYC / Escrow

# Road map

## The infrastructure for private equity









### 1. Equity Management
### 2017-19

Equity management for private companies.

SaaS

### 2. Transactions
### 2019-2020

Facilitating end-to-end share transactions.

SaaS + Commission

### 3. Broker Integrations
### 2021

Integrating Capdesk with established brokers

SaaS + Commission

# Why Now?

1

**No Liquidity**

IPOs have stagnated since 2000
(Economist 2018)

2

**Missing Investment Opportunities**

Uncalled PE capital is at the highest yet
(Bain & Company, 2018)

3

**More Employees in Private Companies**

Employee owned businesses in the UK growing by 10% year on year
(UK Employee Ownership Association 2018)

4

**More Funding in Startups**

Total annual global funding increased nearly 50% in 2017
(CBS insights)

option holders and shareholders

in unlisted companies are at its

highest

while IPOs are at its lowest

## Solium acquired for $900M (2019)

Banking giant Morgan Stanley has confirmed the acquisition of publicly traded share plan management software company Solium Capital for $900 million in cash, per the FT.

## Carta valued at $1.7B (2019)

Carta, a seven-year-old, San Francisco-based startup, is the newest unicorn in tech. The company, which largely helps private company investors, founders, and employees manage their equity and ownership, tells TechCrunch it has raised $300 million in a Series E round at a $1.7 billion valuation, led by Andreessen Horowitz. Firm co-founder Marc Andreessen is also joining the board.

## Computershare acquired Equatex (November 2018)

Employee share plan provider Computershare has completed the acquisition of Zurich-based Equatex from Montagu Private Equity, following regulatory approval.

Equatex, which has over 220 employees, provides a range of employee share plan administration services for more than 160 clients, administering around $40 billion (£31.1 billion) in assets.

## Timing is Perfect

Capdesk has been approached by several acquirers

The global equity management market is **hotting up**.

# Business Model

Covering expenses through subscriptions and profiting from transactions.

**Subscription**

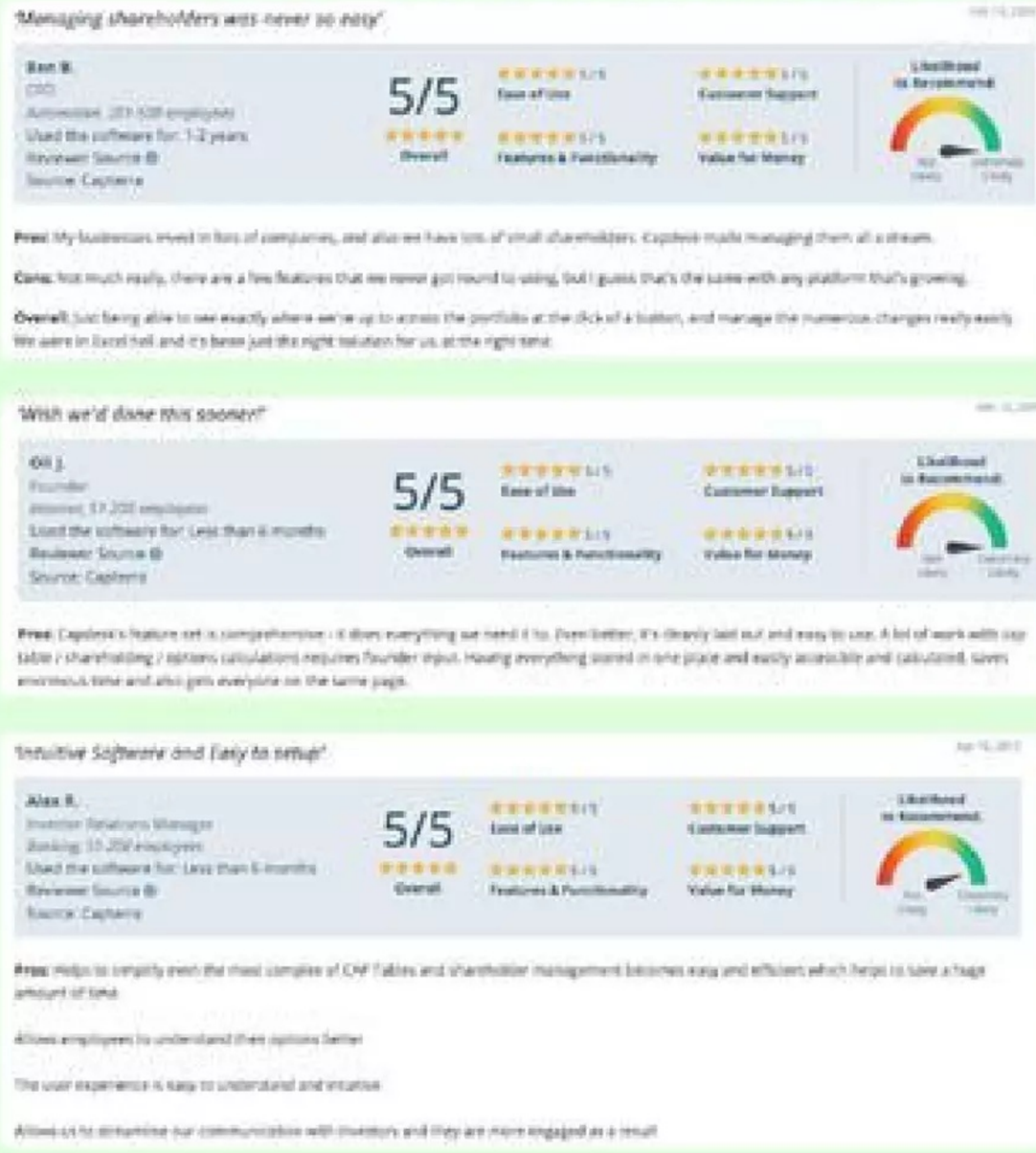
Recurring Annual

**Commission on transactions**

Variable fee on all transactions made through Capdesk

# Traction

- +£20bn market cap on Capdesk
- +500 companies on Capdesk
- +100,000 investors on Capdesk
- +500% MRR Growth in 2019



# Clients

Capdesk is working with some of Europe's most promising unlisted companies.

Our clients have a total market cap of

**+£20B**

Chattermill

secret escapes

nutmeg

voi.

BILLIE

PLUM GUIDE

gousto

# Team

## Management



**Christian Gabriel, Co-founder & CEO**

Country Manager in FundedByMe

Bsc. Computer Science & Communication

University of Copenhagen



**Mikkel Boje, Co-founder & CTO**

Partner in Accurate IT

IT Manager Netcompany

MSc. AI University of Edinburgh



**Martin Damhus, Co-founder & CIO**

Partner in Accurate IT

IT Manager Netcompany

MSc. Computer Science University of Copenhagen

## Key Team Members



**Hakon Junge, CCO**

Previously Growth Manager at Pleo

Commercial experience from several startups



**Guillaume Simard, CTO**

Previously Engineering Director at Pleo

10+ years experience in engineering



**Greg Carter, CFO**

Previously CEO and Founder of Growth Street

13+ years experience in finance

# Capdesk is raising **£5M**

[Extending our Series A from July 2020]

To scale into **Scandinavia**, **France** and **Germany** and cementing our unique position as Europe's leading equity management platform.



# Appendix

# Secondary Transactions on Capdesk




## 1 Configure Secondary

Choose a suitable fund if you haven't already got a buyer.

Agree price, maximum volume and terms (incl. window) with buyer.

Re-use your secondary document templates or upload new.

Configure seller table and control who will be invited to sell.

Handle pre-emption rights by getting shareholders to waive rights.

Live Execution Status

| Start/Close Dates | No. of Sellers | Total Amount |
| --- | --- | --- |
| [redacted] – [redacted] | [redacted] | £12,674,886.00 |
| Price per Share | Max Amount | |
| [redacted] | [redacted] | |

Seller Status

| | | | | |
| --- | --- | --- | --- | --- |
| [redacted] | [redacted] | ✓ | [redacted] | [redacted] |
| [redacted] | [redacted] | ✓ | [redacted] | [redacted] |
| [redacted] | [redacted] | ⊘ | [redacted] | [redacted] |

## 2 Monitor Execution

Buyers place orders by e-signing and funding Escrow account on platform.

Sellers place orders by e-signing and registration of bank account on platform.

Employees and investors are guided through the automated process including exercise of vested options.

Final Execution Summary

| Start/Close Dates | No. of Sellers | Total Amount |
|---|---|---|
| [redacted] – [redacted] | [redacted] | £18,349,713.00 |
| Price per Share | Max Amount | |
| [redacted] | [redacted] | |

- Documentation signed (SPAs, SHAs, STFs)
- Funds released
- STF stamped
- Shareholder register updated
- Share certificates updated
- HMRC filing updated

Download Documents

## 3 Close Secondary in Minutes

Approve closing of secondary and e-sign documentation using purchase and sale orders.

Funds are released to sellers from Escrow account.

Capdesk handles Stock Transfer Forms (STFs) and stamp duty with HMRC.

All your data is automatically updated including cap table, shareholder register, share certificates, HMRC option scheme annual returns, etc.

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